

5. Root Cause #2 – Regime Misclassification

5.1 What the classifier said vs. what the market did

Signal	Value	What it implies
Regime classifier output	SIDEWAYS / NEUTRAL	Use 15 LONG / 5 SHORT slot allocation
Nifty close %	+0.63%	Mild BULL (BULL threshold typically +0.50%)
Market breadth	(not captured)	—
Premarket bias	BULLISH (gap UP +0.75%)	BULL
FII flow	−8,828 Cr	BEAR pressure
DII flow	+4,701 Cr	BULL counter-pressure

The classifier is using a hybrid of historical volatility + recent return + VIX. With VIX at 18.6 (slightly elevated) and recent days having been chop, it labeled today SIDEWAYS. But Nifty's actual +0.63% close indicates the day was a **mild BULL** — the regime that historically requires an **18 LONG / 2 SHORT** split, not 15/5.

5.2 The slot allocation cost

Regime	LONG slots	SHORT slots
BULL (Nifty > +0.5%)	18	2
SIDEWAYS (used today)	15	5
BEAR (Nifty < −0.5%)	8	12